



How it works

Investment companies pool investors' funds to invest in different businesses and assets, potentially giving clients access to markets they could not afford to invest

in alone. Fund managers analyze the market, deciding when to buy, sell, or hold. They respond to economic and world news, and try to anticipate movements in global stock markets to make money for clients.

5% the maximum amount of total assets a diversified investment company can hold in a single security according to US law



WARNING

- **Charges** Investing in a fund can include administrative charges, management fees, and entry and exit fees, in addition to the cost of the units in the fund.
- **Performance** Despite the fact that they are actively managed by professionals, many funds do not provide a better return than basic market trackers.

